



SRB & Associates
CHARTERED ACCOUNTANTS

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Independent Auditors' Report

To the members of Manaksia Industries Limited

Report on the Standalone Financial Statements

We have audited the accompanying standalone financial statements of Manaksia Industries Limited (the "Company"), which comprise the Balance Sheet as at March 31, 2017, the statement of Profit and Loss and the Cash Flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation and presentation of these standalone financial statements that give a true and fair view of the financial position, financial performance and cash flows of the company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities, selection and application of appropriate accounting policies, making judgments and estimates that are reasonable and prudent and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these standalone financial statements based on our audit.





We have taken into account the provisions of the Act, the accounting and auditing standards and matters that are required to be included in the audit report under the provisions of the Act and the Rules made there under.

We conducted our audit in accordance with the standards on auditing specified under section 143 (10) of the Act, those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Opinion

In our opinion, and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2017, and its profits and its cash flows for the year ended on that date.





Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2016("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the 'Annexure A'; a statement on the matters specified in the paragraph 3 and 4 of the said order, to the extent applicable.
2. As required by Section 143 (3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c. The Balance Sheet, the Statement of Profit and Loss and the Cash Flow statement dealt with by this report are in agreement with the books of account.
 - d. In our opinion, the aforesaid standalone financial statements comply with the accounting standards specified under section 133 of the Act, read with rule 7 of the Companies (Accounts) Rules, 2014
 - e. On the basis of the written representations received from the Directors as on 31st March 2017, taken on record by the Board of Directors, none of the Directors are disqualified as on 31st March 2017 from being appointed as a Director in terms of section 164 (2) of the Act.
 - f. With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in 'Annexure B';
 - g. With respect to the other matters to be included in the Auditor's Report in accordance with rule 11 of the companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:





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- i. the Company has disclosed the impact of pending litigations on its financial position in its financial statements. Refer additional note-27 to the standalone financial statements;
- ii. the Company has made provision, as required under the applicable law or accounting standard, for material foreseeable losses, if any on long-term contracts including derivative contracts. Refer additional note-34 to the standalone financial statements ;
- iii. there has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection fund by the company.
- iv. the Company has provided requisite disclosures in its standalone financial statements as to holdings as well as dealings in Specified Bank Notes during the period from 8 November, 2016 to 30 December, 2016 and these are in accordance with the books of accounts maintained by the Company. Refer Note-32 to the standalone financial statements.

For **SRB & Associates**
Chartered Accountants
Firm Registration: No-310009E



Sanjeet Patra

Sanjeet Patra
Partner

Membership No: 056121

Kolkata, 14th April, 2017



Annexure-A to the Independent Auditors' Report

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

The Annexure referred to in our Independent Auditor's Report to the members of Manaksia Industries Limited (the Company) on the standalone financial statements for the year ended March 31, 2017, we report that:

- (i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- (b) The Company has a regular programme of physical verification of its fixed assets, by which all fixed assets are verified in a phased manner over a period of two years. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to such program, a portion of fixed asset has been physically verified by the management during the year and no material discrepancies were noticed on such verification.
- (c) In our opinion and according to the information and explanations given to us, the title deeds of immovable properties are held in the name of the Company.
- (ii) (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of such verification is reasonable.
- (b) The discrepancies noticed on the aforesaid verification between the physical stocks and book records were not material.
- (iii) (a) According to the information and explanations given to us, the terms and conditions in respect of the loans granted by the Company (secured/ unsecured loans) to companies/ firms/ limited liability partnerships or other parties covered in the register maintained under section 189 of the Act are not prima-facie prejudicial to the interest of the Company.





- (b) In respect of the aforesaid loans, the parties are repaying the principal amounts as stipulated and are also regular in payment of interest, where applicable.
- (c) In respect of the aforesaid loans, there is no overdue amount for a period exceeding 90 days.
- (iv) In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of section 185 and 186 of the Act in respect of grant of loans, making investments and providing guarantees and securities, as applicable.
- (v) In our opinion and according to the information and explanations given to us, the Company has not accepted any deposits from the public and accordingly paragraph 3 (v) of the Order is not applicable.
- (vi) We have broadly reviewed the books of account maintained by the Company pursuant to the rules prescribed by the Central Government for maintenance of cost records under sub-section (1) of section 148 of the Act, and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the records.
- (vii) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, amounts deducted/accrued in the books of account in respect of undisputed statutory dues including provident fund, employees' state insurance, income-tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess and other material statutory dues have been generally regularly deposited during the year by the Company with the appropriate authorities.
- (b) According to the information and explanations given to us, the following dues of Excise duty, service tax & Entry tax have not been deposited by the Company on account of disputes:





Name of the statute	Nature of the Dues	Amount (in Rs.)	Period to which the amount relates	Forum where dispute is pending
Central Excise Act, 1944	Excise Duty & Penalty	3502788.00	1991-99	Superintendent of Central Excise, Range-9
Central Excise Act, 1944	Excise Duty & Penalty	1604645.00	2012-13	Addl. Commissioner, Hyderabad
Central Excise Act, 1944	Excise Duty & Penalty	1729833.00	2014-15	Jt. Commissioner, Hyderabad
Central Excise Act, 1944	Excise Duty & Penalty	29504533.00	2010-11	Commissioner of C.Ex., Hyderabad – I
Central Excise Act, 1944	Excise Duty & Penalty	2558384.00	1991-92	Commissioner of Central Excise, Kolkata
Central Excise Act, 1944	Excise Duty & Penalty	2856822.00	1990-94	Collectrate of C.Ex, Cal – II
Central Excise Act, 1944	Excise Duty & Penalty	4966246.00	1991-94	Superintendent, C.EX of HND
Central Excise Act, 1944	Excise Duty & Penalty	1091595.00	1992-15	A.C, C.Ex., CGR-I
Central Excise Act, 1944	Excise Duty & Penalty	568850.00	2007-11	A.C., C.E.DGP
Central Excise Act, 1944	Excise Duty & Penalty	1424775.00	2007-08	Jt. Commissioner, Bolpur
Central Excise Act, 1944	Excise Duty & Penalty	835713.00	1998-99	Additional Commissioner, Cal-IV
Central Excise Act, 1944	Excise Duty & Penalty	1728620.00	1993-04	Additional Commissioner, C.Ex of Cal-II
Central Excise Act, 1944	Excise Duty & Penalty	117147.00	2013-14	Asstt. Commissioner, C.Ex, HND-II
Central Excise Act, 1944	Excise Duty & Penalty	266145.00	2011-12	D.C., C.E, DGP
Central Excise Act, 1944	Excise Duty & Penalty	954876.00	1995-97	Dy. Commissioner, C.Ex of Cal-II
Central Excise Act, 1944	Excise Duty & Penalty	1159078.00	2000-12	Joint Commissioner, C.Ex, Cal-IV
Central Excise Act, 1944	Service Tax	3169656.00	2009-10	Asst, Commissioner, CE & ST Haldia-Div.I
Central Excise Act, 1944	Service Tax	1127816.00	2015-16	Commissioner of Central Excise (Appeals) II, Kolkata
MP Industrial Relation Act, 1960	Others	213259.00	2014-15	Labour Court, Bhopal
The WB Entry Tax Act	Entry Tax	7066085.00	2011-17	High Court, Kolkata





- (viii) In our opinion and according to the information and explanations given to us, the Company has not defaulted in repayment of dues to any financial institutions, bankers and government or debenture holders during the year.
- (ix) In our opinion and according to the information and explanations given to us, the term loans taken by the Company have been applied for the purpose for which they were raised. The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year.
- (x) According to the information and explanations given to us, no fraud by the Company or on by its officers or employees has been noticed or reported during the course of our audit.
- (xi) According to the information and explanations given to us, managerial remuneration has been paid or provided in accordance with the requisite approvals mandated by the provisions of section 197 read with schedule V to the Companies Act.
- (xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, paragraph 3(xii) of the Order is not applicable.
- (xiii) According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with section 177 and 188 of the Companies Act, 2013 and the details of such transactions have been disclosed in the standalone financial statements of the Company as required by the applicable accounting standards.
- (xiv) According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, paragraph 3(xiv) of the order is not applicable.





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- (xv) The Company has not entered into any non-cash transactions with its directors or persons connected with him. Accordingly, the provisions of clause 3(xv) of the Order are not applicable to the Company.
- (xvi) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, the provisions of clause 3(xvi) of the order are not applicable to the Company.

For **SRB & Associates**
Chartered Accountants
Firm Registration: No-310009E



Sanjeet Patra
Partner

Kolkata, 14th April, 2017

Membership No: 056121

Annexure -B to the Independent Auditors' Report

(Referred to in paragraph 2 (f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of Manaksia Industries Limited ("the Company") as of March 31, 2017 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, (the 'Standards') issued by ICAI and deemed to be prescribed under section 143 (10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.



Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (i) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (ii) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (iii) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.



MANAKSIA INDUSTRIES LIMITED
Balance Sheet as at March 31, 2017

	Notes	As at March 31, 2017 Rs.in Lacs	As at March 31, 2016 Rs.in Lacs
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital	2	655.34	655.34
(b) Reserves and surplus	3	10,064.74	9,369.53
		<u>10,720.08</u>	<u>10,024.87</u>
2. Non-current liabilities			
(a) Long term borrowings	4	2,701.39	1,435.67
(b) Deferred Tax Liabilities (net)	5	362.94	311.15
(c) Other long term liabilities	6	35.36	35.36
(d) Long term provisions	7	336.28	291.68
		<u>3,435.97</u>	<u>2,073.86</u>
3. Current liabilities			
(a) Short term borrowings	8	4,895.97	4,805.91
(b) Trade payables	9	295.03	178.23
(c) Other current liabilities	10	1,227.50	1,192.51
(d) Short term provisions	11	227.84	109.57
		<u>6,646.34</u>	<u>6,286.22</u>
TOTAL		<u>20,802.39</u>	<u>18,384.95</u>
II. ASSETS			
1. Non current assets			
(a) Fixed assets	12		
Tangible assets		3,028.07	3,161.94
Intangible assets		47.68	58.85
Capital work-in-progress		449.59	373.70
(b) Non-current investments	13	4,237.27	3,239.30
(c) Long term loans and advances	14	974.27	73.96
		<u>8,736.88</u>	<u>6,907.76</u>
2. Current assets			
(a) Inventories	15	5,751.48	4,935.21
(b) Trade receivables	16	4,185.04	3,846.30
(c) Cash and Cash equivalents	17	147.49	76.58
(d) Short term loans and advances	18	1,981.49	2,619.10
		<u>12,065.50</u>	<u>11,477.19</u>
TOTAL		<u>20,802.38</u>	<u>18,384.95</u>
Significant Accounting Policies	1		
See accompanying Notes to the Financial Statements	2-36		
The notes referred to above form an integral part of the financial statements			

As per our Report attached of even date
For SRB & Associates
Chartered Accountants
Firm Regn. No. 310009E

Sanjeet Patra
(Partner)
Membership No. 056121

Kolkata
14th April 2017



For and on Behalf of the Board of Directors

B K Agrawal
(Managing Director)
DIN - 00520558

Navneet Manaksia
(Director Cum Chief
Financial Officer)
DIN - 00438612

Aditya B Manaksia
(Director)
DIN - 00614488

S K Sultania
(Company Secretary)
ACS Membership No. - 13546

MANAKSIA INDUSTRIES LIMITED
Profit and Loss Statement for the year ended March 31, 2017

	Notes	2016 - 2017 Rs.in Lacs	2015 - 2016 Rs.in Lacs
I. Income			
Net Revenue from operations	19	12,294.65	10,265.84
Other Income	20	624.82	322.92
Total Revenue		12,919.47	10,588.76
II. Expenses			
Cost of materials consumed	21	4,713.83	6,032.22
Purchases of Stock-in-Trade	22	2,716.95	29.70
Changes in Inventories of finished goods, Work-in-progress and stock-in-trade	23	(804.23)	(422.17)
Employee benefits expense	24	1,608.70	1,459.02
Finance cost	25	963.04	869.93
Depreciation and amortization expense	12	378.05	434.88
Other expenses	26	2,429.61	2,525.22
Total Expenses		12,005.95	10,928.79
III. Profit / (Loss) before Exceptional Items & Extraordinary Items & tax		913.52	(340.03)
IV. Exceptional Items			
Exchange Fluctuation (Loss)		(36.54)	(67.06)
V. Extraordinary Items		-	-
VI. Profit / (Loss) before tax		876.98	(407.10)
VII. Tax expenses			
Current tax		130.00	-
Deferred tax		51.79	(59.00)
Total tax expenses		181.79	(59.00)
VIII. Profit / (Loss) for the period		695.19	(348.10)
IX Basic and diluted Earnings per equity share of face value of Re. 1/- each	28	1.06	(0.53)
Significant Accounting Policies	1		
See accompanying Notes to the Financial Statements	2-36		

The notes referred to above form an integral part of the financial statements

As per our Report attached of even date
For SRB & Associates
Chartered Accountants
Firm Regn. No. 310009E

Sanjeet Patra

Sanjeet Patra
(Partner)
Membership No. 056121

Kolkata
14th April 2017



For and on Behalf of the Board of Directors

B K Agrawal
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(Managing Director)
DIN - 00520558

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DIN - 00614488

S K Sultania
S K Sultania

(Company Secretary)
ACS Membership No. - 13546

MANAKSIA INDUSTRIES LIMITED
CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2017

PARTICULARS	(Rs in Lacs)	
	for the year ended 31st March 2017	for the year ended 31st March 2016
A: CASH FLOW FROM OPERATING ACTIVITIES:		
Net Profit /(Loss) before Tax and Exceptional items:	913.52	(340.03)
Adjustment for:		
Depreciation/ Amortisation	378.05	434.88
Finance Cost & Interest Expense	963.04	869.93
Interest Income	(299.33)	(268.48)
Profit on sale of Fixed Assets	(219.38)	(4.52)
Prior Period & Exceptional Items (Net)	10.13	4.23
Exchange Fluctuation (Net)	(36.54)	(67.06)
Operating Profit before Working Capital Changes	1,709.49	628.95
Adjustment for:		
(Increase)/Decrease in Trade and Other Receivables	79.52	1,806.91
(Increase)/Decrease in Inventories	(816.26)	69.08
Increase/(Decrease) in Trade and Other Payables	471.19	(167.23)
Cash Generated from Operations	1,443.94	2,337.70
Direct Taxes Paid	(68.42)	(66.82)
Cash Flow before Prior Period & Exceptional items	1,375.52	2,270.89
Prior Period & Exceptional Items (Net)	(10.13)	(4.23)
Net Cash Flow from /(Used in) Operating Activities	1,365.39	2,266.66
B: CASH FLOW FROM INVESTING ACTIVITIES:		
Purchase of Fixed Assets and change in Capital work in progress	(399.05)	(101.94)
Sale of Fixed Assets	309.54	5.29
Decrease in investment in Government Securities	0.03	-
Increase in Investment in subsidiaries	(998.00)	-
Interest Received	299.33	268.48
Net Cash Flow from/(Used in) Investing Activities	(788.15)	171.82
C: CASH FLOW FROM FINANCING ACTIVITIES:		
Proceeds from Long Term Borrowings	2,079.83	-
Repayment of Long Term Borrowings	(814.11)	(934.06)
(Repayment of) / Proceeds from Short Term Borrowings (Net)	90.06	(666.72)
Increase in security deposits with related party & others	(900.31)	-
Interest etc. Paid	(961.81)	(860.75)
Net Cash Flow From/(Used in) Financing Activities	(506.34)	(2,461.53)
D: Net Increase/(Decrease) in Cash and Cash Equivalents	70.90	(23.05)
Cash and Cash Equivalents as at 1st April	76.59	99.64
Cash and Cash Equivalents as at 31st March	147.49	76.59

Note: Previous year's figures have been rearranged and regrouped wherever necessary.

As per our Report attached of even date
For SRB & Associates
Chartered Accountants
Firm Regn. No. 310009E

Sanjeet Patra

Sanjeet Patra
(Partner)

Membership No. 056121
Kolkata
14th April 2017



For and on Behalf of the Board of Directors

B K Agrawal
B K Agrawal
(Managing Director)
DIN - 00520558

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S K Sultania
S K Sultania
(Company Secretary)
ACS Membership No. - 13546

MANAKSIA INDUSTRIES LIMITED

Note 1 : SIGNIFICANT ACCOUNTING POLICIES

(Annexed to and forming part of the financial statements for the year ended 31st March, 2017)

I) Basis of preparation of Financial Statement

The financial statements are prepared under the Historical cost convention method, using the accrual system of accounting in accordance with the Generally Accepted Accounting Principles in India including the Accounting Standards specified under Section 133 of the Companies Act, 2013 read with Rule 7 of Companies (Accounts) Rules, 2014.

II) Revenue Recognition

Revenue from sale of goods and services rendered is recognized upon transfer of title and rendering of services to the customers.

- Sales include trade sales.
- Gross Sales include applicable taxes unless separately charged and are net of discount.
- Sales are recognised on dispatch except consignment sales which are recognised on receipt of statement of accounts from the agent.

III) Use of Estimates

The preparation of financial statements in conformity with Indian GAAP requires judgements, estimates and assumptions to be made that affect the reported amount of assets and liabilities, disclosure of contingent liabilities on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. Difference between the actual results and estimates are recognized in the period in which the results are known/materialized.

IV) Fixed Assets

Fixed Assets are stated at cost of acquisition inclusive of duties (net of CENVAT/VAT), taxes, borrowing costs directly attributable to acquisition, incidental expenses and erection/ commissioning etc., upto the date, the asset is ready for its intended use.

V) Depreciation

- a) Depreciation on all Fixed Assets is provided as per Schedule II of Companies Act, 2013 under Straight Line Method over estimated useful lives for each category of assets as under:

• Factory Building	: 10 , 30 & 60 years
• Plant and Machinery	: 15 years
• Electrical Installation and Equipments	: 10 Years
• Furniture and Fixture	: 10 Years
• Office Equipment	: 5 Years
• Motor Vehicles	: 8 & 10 Years
• Computers	: 3 & 6 Years

- b) Depreciation includes amortisation of leasehold land over the period of lease.

- c) The residual value of assets has been considered as five percent of the original cost of the assets as per Schedule II of the Act.

- d) Depreciation is provided on pro-rata basis on additions and deletions of Fixed Assets during the year .



MANAKSIA INDUSTRIES LIMITED

- e) In case of impairment, if any, depreciation is provided on the revised carrying amount of the assets over its remaining useful life.
- f) Software costs are amortized using the Straight Line Method over estimated useful life of 6 years.

VI) Impairment of Assets

The carrying amount of assets are reviewed at each balance sheet date to determine if there is any indication of impairment based on external/internal factor. An impairment loss is recognised wherever the carrying amount of an asset exceeds its recoverable amount which represents the greater of the net selling price and value in use of the assets. The estimated cash flows considered for determining the value in use, are discounted to the present value at weighted average cost of capital.

VII) Foreign currency transaction

a) Initial Recognition

Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

b) Conversion

Foreign currency monetary items are reported using the closing rate. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction; and non-monetary items which are carried at fair value or other similar valuation denominated in a foreign currency are reported using the exchange rates that existed when the values were determined.

c) Exchange Differences

Exchange differences arising on the settlement/conversion of monetary items are recognized as income or expenses in the year in which they arise.

The premium or discount arising at the inception of forward exchange contracts is amortised as expense or income over the life of the respective contracts. Exchange differences on such contracts are recognised in the Statement of Profit and Loss in the year in which the exchange rates change. Any profit or loss arising on cancellation or renewal of forward exchange contract is recognised as income or expense for the year.

VIII) Investments

Long term Investments are stated at Cost less provisions recorded to recognize any decline, other than temporary, in the carrying value of each investment. Investments in foreign companies are considered at the exchange rates prevailing on the date of their acquisition. Current investments are carried at lower of cost or fair value of each investment.

IX) Inventories

Inventories are valued as follows:

- a) Raw materials, finished goods, Stock in trade, Work in process, Packing materials and Stores & Spares are valued at lower of cost and net realisable value. Closing stock has been valued on Weighted Average basis.
- b) Saleable scraps, whose cost is not identifiable, are valued at estimated realisable value.



MANAKSIA INDUSTRIES LIMITED

X) Research & Development

Research and development expenditure of revenue nature are charged to Statement of Profit and Loss Account, while capital expenditure are added to the cost of fixed assets in the year in which these are incurred.

XI) Employee Benefits

- i) Short term employee benefits are charged off at the undiscounted amount in the year in which the related services are rendered.
- ii) Post employment and other long term employee benefits are charged off in the year in which the employee has rendered services. The amount charged off is recognised at the present value of the amounts payable determined using actuarial valuation techniques. Actuarial gain and losses in respect of post employment and other long term benefits are charged to Statement of Profit and Loss Account.

XII) Earning Per Share

Basic earning per share is calculated by dividing the net Profit or Loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period. For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

XIII) Excise Duty and Custom Duty

Excise duty on finished goods stock lying at factories is accounted for at the point of manufacture of goods and accordingly, is considered for valuation of finished goods as on the Balance Sheet date. Custom duty on imported material in transit / lying in bonded warehouse is accounted for at the time, the same are released from Customs/ Bonded warehouse.

XIV) Financial Derivatives and Commodity Hedging Transactions

In respect of derivative contracts, premium paid, gains/losses on settlement and provision for losses for cash flow hedges and restatement on Balance Sheet date are recognised in the Statement of Profit and Loss Account, except in case where they relate to borrowing costs that are attributable to the acquisition or construction of fixed assets, in which case, they are adjusted to the carrying cost of such assets.

XV) Borrowing Costs

Borrowing Costs relating to acquisition / construction of qualifying assets are capitalized until the time all substantial activities necessary to prepare the qualifying assets for their intended use are complete. A qualifying asset is one that necessarily takes substantial period of time to get ready for its intended use. All other borrowing costs are charged to revenue.

XVI) Taxation

Tax expenses comprises of current and deferred tax. Current income tax is measured at the amount expected to be paid to the tax authorities in accordance with the Indian Income Tax Act, 1961. Deferred income taxes reflect the impact of current year timing differences between taxable income for the year and reversal of timing differences of earlier years.

The deferred tax for timing differences between the book and tax profits for the year is accounted for using the tax rates and laws that have been substantially enacted as on the Balance Sheet date.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that sufficient



MANAKSIA INDUSTRIES LIMITED

future taxable income will be available against which such deferred tax assets can be realised. If the company has carry forward unabsorbed depreciation and tax losses, deferred tax assets are recognised only to the extent there is virtual certainty supported by convincing evidence that sufficient taxable income will be available against which such deferred tax asset can be realized.

XVII) Prior Period Expenses/Income

Material items of prior period expenses/income are disclosed separately.

XVIII) Provision, Contingent Liabilities and Contingent Assets

Provisions involving substantial degree of estimation in measurement are recognised when there is a present obligation as a result of past events and it is probable that there will be an outflow of resources. Contingent Liabilities are not recognised but are disclosed in the notes. Contingent Assets are neither recognised nor disclosed in the financial statements.



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017

	As At March 31, 2017 Rs. in Lacs	As At March 31, 2016 Rs. in Lacs
2. Share Capital		
a) Authorised:		
75,000,000 Equity Shares of Re. 1/- each	750.00	750.00
	<u>750.00</u>	<u>750.00</u>
b) Issued, Subscribed and paid-up Shares:		
65,534,050 Equity Shares of Re. 1/- each fully paid up	655.34	655.34
	<u>655.34</u>	<u>655.34</u>

c) Details of shareholders holding more than 5% shares in the Company

Name of Shareholders	As at March 31, 2017		As at March 31, 2016	
	No. of shares	% holding	No. of shares	% holding
Basant Kumar Agrawal	14,455,940	22%	41,255,940	63%
Navneet Manaksia	9,500,000	14%	-	-
Aditya B Manaksia	9,500,000	14%	-	-
Saroj Devi Agrawal	7,800,000	12%	-	-

d) Reconciliation of the shares outstanding is set out below:

	2016-17 No. of shares	2015-16 No. of shares
Equity Shares		
At the beginning of the period	65,534,050	65,534,050
Outstanding at the end of the period	<u>65,534,050</u>	<u>65,534,050</u>

e) Terms/rights attached to each class of shares
Equity Shares:

The Company has only one class of equity shares having a par value of Re.1/-. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

f) The Company is not a Subsidiary Company
g) No Shares has been reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.

h) In terms of the scheme of arrangement under section 391 to 394 of the Companies Act, 1956 ('the Scheme') between Manaksia Limited, Manaksia Industries Limited ('the Company') and other three transferee Companies, Manaksia Limited has demerged its business and undertakings namely, Aluminium Undertaking, Steel Undertaking, CMMC Undertaking and Packaging Undertaking to four separate transferee Companies. In terms of the Scheme 65,534,050 equity shares of Re.1/- each fully paid-up, of the Company have been issued to the holders of equity shares of Manaksia Limited, whose names were registered in the register of members on the record date without payment being received in cash, in the ratio of 1 (one) fully paid-up equity share of Re. 1/- each of the Company for every equity share held in Manaksia Limited.

3. Reserves and Surplus

	As at March 31, 2017 Rs. in Lacs	As at March 31, 2016 Rs. in Lacs
A. Capital Reserves		
As per last Balance Sheet	5.00	
Balance as at the end of the period	<u>5.00</u>	<u>5.00</u>
B. Securities Premium Reserve		
As per last Balance Sheet	4,171.20	4,171.20
Balance as at the end of the period	<u>4,171.20</u>	<u>4,171.20</u>



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017 (Continued)

	As at March 31, 2017 Rs. in Lacs		As at March 31, 2016 Rs. in Lacs	
C. General Reserve				
As per last Balance Sheet	6,300.66		6,300.66	
Balance as at the end of the period		6,300.66		6,300.66
D. Surplus / Defecit in the statement of profit and loss				
As per last Balance Sheet	(1,107.32)		(759.23)	
Add : Profit / (Loss) for the year	695.20		(348.10)	
Balance as at the end of the period		(412.12)		(1,107.32)
		10,064.74		9,369.53
4. Long term borrowings				
	As at March 31, 2017		As at March 31, 2016	
	Non Current Rs. in Lacs	Current Rs. in Lacs	Non Current Rs. in Lacs	Current Rs. in Lacs
Secured				
Term Loans:				
From Banks				
Rupee Loan				
(a) Corporate Loan from Bank	-	475.00	475.00	840.00
(b) Loan against property	1,870.83	115.36		
(c) Vehicle Loan	54.51	21.50	17.15	
	1,925.34	611.86	492.15	840.00
Unsecured				
Deferred Payment Liabilities (Under Sales Tax Deferment scheme-Interest Free)	776.05	167.47	943.52	104.61
	776.05	167.47	943.52	104.61
Total	2,701.39	779.33	1,435.67	944.61

Note:

4.1 The Current part of Long Term Borrowings, as above, have been shown under Other Current Liabilities (Note No.10), as Current Maturities of long term debt,

4.2 Rupee Term Loan:

a. The Company's Secured Corporate Loan facilities are secured by First Charge on Fixed Asset (Movable and Immovable) of the Company. The amount is further secured by second charge on the current assets of the Company. Rate of Interest on this loan is 11% P.A

Repayment Schedule of Corporate Loan from Bank is as follows:

Year	Amount (Rs. In Lacs)
2017-18	475.00

b. Company's Loan against property from NBFC is secured by Charge against properties of subsidiary companies - Jiwanivoti Vaniya Pvt Ltd and Glitter Agencies Pvt Ltd. The amount is further secured by pledge of company's investment in Equity shares of those companies. Rate of interest of this kind of loan is LFRR (LAP Floating reference rate notified time to time) -7.25% margin. These loans are repayable in Equated Monthly Instalments over a period of 10 years.

c. Vehicle loan are secured by charge against the vehicles obtained from those loans. Rate of interest on vehicle loans ranges between 8.5% To 10% p.a These loans are repayable between 3 to 5 years from date of disbursement.

4.3 Sales Tax deferred schime:

The loan is repayable in annual instalments which range from a maximum of Rs.167.47 lacs to a minimum of Rs 21.70 lacs over the period from 1998-1999 to 2012-2013. The amount outstanding is free of interest.



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017 (Continued)

	As at March 31, 2017 Rs. In Lacs	As at March 31, 2016 Rs. In Lacs
5. Deferred Tax Liabilities (net)		
a) Deferred Tax Liability		
Timing difference in depreciable assets	511.46	454.10
b) Deferred Tax Assets		
Expenses allowable against taxable income in future years	(148.52)	(142.95)
Net Deferred tax Liability	<u>362.94</u>	<u>311.15</u>
6. Other long term liabilities		
Rent Deposit	<u>35.36</u>	<u>35.36</u>
	<u>35.36</u>	<u>35.36</u>
7. Long term provisions		
Provision for Employee benefits (Refer Note No. 29)	<u>336.28</u>	<u>291.68</u>
Total	<u>336.28</u>	<u>291.68</u>
8. Short term borrowings		
Secured		
a) Loans repayable on Demand (Working Capital Loans)		
From Banks		
Rupee Loan	3,028.98	2,776.13
b) Buyers Credit	1,265.13	2,029.79
c) Unsecured Loan	601.86	-
From Body Corporates		
Total	<u>4,895.97</u>	<u>4,805.91</u>
Note:		
8.1 The Company's Working Capital facilities from banks are secured by First Charge on the current assets and First Charge on Fixed Assets of unit at Bankura ranking pari passu with the respective Working Capital Bankers.		
The amount is further secured on second charge basis on fixed assets of the Company (except at Bankura unit) ranking pari passu with the respective Working Capital Bankers.		
9. Trade payables		
Micro, Small and Medium Enterprises*	-	-
Others	295.03	178.23
Total	<u>295.03</u>	<u>178.23</u>
* Disclosure of payables to MSME vendors as defined under the "Micro, Small and Medium Enterprise Development Act, 2006" is based on the information available with the Company regarding the status of registration of such vendors under the said Act, as per the intimation received from them on requests made by the Company.		
There are no overdue principal amounts/interest payable amounts for delayed payments to such vendors at the Balance Sheet date. There are no delays in payment made to such suppliers during the year or for earlier years and accordingly there is no interest paid or outstanding interest in this regard in respect of payments made during the year or brought forward from previous years.		
10. Other current liabilities		
Current Maturities of Long Term Debt		
Term Loans	611.86	840.00
Deferred Payment Liabilities	167.47	104.61
Interest accrued but not due on borrowings	38.36	37.13
Other Payables *	409.81	210.77
Total	<u>1,227.50</u>	<u>1,192.51</u>
* Other Payables includes Statutory Dues		
11. Short term provisions		
Provision for Employee Benefits	142.71	42.79
Others *	85.12	66.77
Total	<u>227.84</u>	<u>109.57</u>
* Includes Liabilities for excise duty on closing stock of Finished Goods.		



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017 (Continued)

	As at March 31, 2017 Rs. In Lacs	As at March 31, 2016 Rs. In Lacs
13. Non-current investments (Valued at Cost)		
(i) Trade Investments		
Investment in Government or Trust securities		
Unquoted		
6 Years National Savings Certificates	-	0.03
(ii) Other Investments		
Investment in Equity Shares of Subsidiary Company		
Unquoted & Fully Paid Up		
4990000 No (Previous year NIL) Equity Shares of Glitter Agencies Pvt Ltd - Face Value Per Share Rs.10/-	499.00	-
4990000 No (Previous year NIL) Equity Shares of Jiwanjyoti Vanijya Pvt Ltd - Face Value Per Share Rs 10/-	499.00	-
25 No Equity Shares of Euroasian Venture FZE - Face Value Per Share 1,000,000 AED	3,239.27	3,239.27
Total	4,237.27	3,239.30
Aggregate amount of investments :		
(a) Quoted	-	-
(b) Unquoted	4,237.27	3,239.30
Market Value of Quoted Investments	-	-
14. Long term loans and advances (Unsecured, and considered good)		
Capital Advances	0.69	0.69
Security Deposit		
To Related Party (Refer Note 30)	900.00	
To Others	73.58	73.27
Total	974.27	73.96
15. Inventories		
At Lower of Cost or Net Realisable Value		
Raw Materials	2,033.41	1,933.72
Work-in-Process	2,642.42	2,004.61
Finished Goods	568.15	458.68
Stores & Spares	330.79	418.45
At Estimated Realisable Value		
Scraps	176.71	119.76
Total	5,751.48	4,935.21
16. Trade receivables		
Unsecured		
Considered Doubtful provided for :		
Outstanding over six months	112.93	112.93
Less : Provision for Doubtful Debts	112.93	112.93
Considered Good :		
Outstanding over six months	503.38	372.06
Other Debts	3,681.65	3,474.24
Total	4,185.04	3,846.30
17. Cash and Cash equivalents		
Balances with Banks	22.52	6.83
Fixed Deposit	57.61	1.68
(Includes deposit of Rs 55 lacs (Previous year NIL) kept as margin money with bank)		
Cash on Hand	67.35	68.07
Total	147.49	76.58
18. Short term loans and advances (Unsecured, considered good)		
Loans and Advances		
To Related Party (Refer Note 30)	863.78	799.25
To Others	228.46	926.27
Balances with Statutory Authorities	439.70	394.10
Advance Income Tax (Net of Provision)	82.14	143.50
Others*	367.42	355.98
Total	1,981.50	2,619.10

* Includes primarily Prepaid Expenses, Advance to Creditors & Advance to Staff



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017 (Continued)

	2016 - 2017 Rs. In Lacs	2015 - 2016 Rs. In Lacs
19. Net Revenue from operations		
Sale of products	12,734.14	10,958.61
Other Operating Income	433.23	396.29
	13,167.38	11,354.90
Less : Excise Duty & Service Tax	872.72	1,089.06
Total	12,294.65	10,265.84
20. Other Income		
Interest Income	299.33	268.48
Profit On Sale Of Fixed Assets	219.39	4.52
Miscellaneous Income	106.11	49.92
Total	624.82	322.92
21. Cost of materials consumed		
Opening Stock	1,933.72	2,037.95
Add : Purchases & Procurement Expenses	4,813.52	5,927.99
Less : Closing Stock	2,033.41	1,933.72
Total	4,713.83	6,032.22
Particulars of Materials Consumed		
Aluminium	2,217.67	1,883.79
T F S Sheet	1,944.52	3,131.33
Others	551.65	1,017.10
Total	4,713.83	6,032.22
22. Purchases of Stock-in-Trade		
Tea	2,488.81	-
Others	228.14	29.70
Total	2,716.95	29.70
23. Changes in Inventories of finished goods, Work-in-progress and stock-in-trade		
Opening Stock		
Finished Goods / Stock in Trade	458.68	467.56
Work in Progress	2,004.61	1,579.44
Scrap	119.76	113.87
	2,583.04	2,160.87
Closing Stock		
Finished Goods / Stock in Trade	568.15	458.68
Work in Progress	2,642.42	2,004.61
Scrap	176.71	119.76
Total	3,387.28	2,583.04
	(804.23)	(422.17)
24. Employee benefits expense		
Salaries, Wages and Bonus	1,119.80	1,063.56
Contribution to provident & other funds	99.75	88.74
Staff Welfare Expenses	389.15	306.71
Total	1,608.70	1,459.02



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017 (Continued)

25. Finance cost	2016 - 2017 Rs. In Lacs	2015 - 2016 Rs. In Lacs
Interest Expenses		
On Fixed Loans	136.53	190.72
On Others	743.98	621.52
Other Borrowing Cost	82.53	57.68
Total	963.04	869.93
26. Other expenses		
Consumption of Stores and Consumables		
Indigenous	257.54	303.31
Imported	0.63	0.12
Power & Fuel	432.87	462.26
Processing Charges	0.38	26.12
Clearing Charges	100.99	120.32
Carriage Inward	63.04	91.09
Lease Rent	0.08	2.72
Repairs to:		
Building	17.46	14.05
Machinery	53.08	60.82
Others	4.95	10.00
Other Manufacturing Expenses	75.94	73.05
Rent	25.04	13.71
Insurance	17.31	14.08
Rates & Taxes	34.63	39.66
Excise Duty on Stocks *	18.35	3.75
Packing Expenses	172.30	251.44
Freight, Forwarding and Handling Expenses	341.81	418.99
Communication Expenses	26.46	24.39
Travelling & Conveyance	139.52	99.58
Auditors' Remuneration		
As Auditor	5.00	5.00
Donations	-	0.40
Other Miscellaneous Expenses	632.10	486.13
Prior Period Items**	10.13	4.23
Total	2,429.61	2,525.22
*Excise duty on stocks represents differential excise duty on opening and closing stock of Finished Goods.		
** Prior Period Items		
Carriage Inward	1.16	-
Carriage Outward	-	0.68
Electricity	-	(5.87)
General Exp	(0.69)	-
Bonus	0.01	-
L T A	0.01	-
Leave	0.00	-
Listing Fees	1.12	-
Security Deposit	-	(1.60)
Gratuity	1.60	-
Salary	0.01	-
Ex Gratia	0.13	-
Excises Duty	-	0.29
Professional Fees	(0.01)	-
Telephone Charges	(0.01)	-
Insurance	0.19	6.46
Rent	6.60	2.88
Miscellaneous Expenses	-	1.40
Total	10.13	4.23



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2017
12. FIXED ASSETS

Particulars	GROSS BLOCK				Depreciation / Amortisation			Rs. in Lacs NET BLOCK
	As at 1st April 2016	Addition	Deletion/ Adjustment	As at 31st Mar 2017	As at 1st April 2016	Deductions/ Adjustments	For the Year	As at 31st Mar 2017
Tangible Assets :								
a) Land	27.25			27.25	-			27.25
b) Leasehold Land	9.08			9.08	2.40		0.09	6.59
c) Building	1,418.68	32.86		1,451.54	720.32		41.48	689.75
d) Plant & Equipment	7,344.97	199.43	703.72	6,840.68	5,105.96	(613.68)	286.46	2,061.94
e) Electrical Installation	266.90			266.90	246.75		2.34	17.80
f) Electric Generator	107.91		0.24	107.67	87.17	(0.18)	2.54	18.14
g) Computers	159.96	6.24		166.20	141.89		7.54	16.77
h) Office Equipment	100.53	2.44		102.98	80.71		4.84	17.42
i) Furniture & Fixtures	110.43	1.44	0.28	111.59	88.22	(0.23)	3.80	19.81
j) Vehicles	230.81	80.74	4.23	307.31	141.17	(4.23)	17.79	152.59
Total Tangible Assets	9,776.52	323.16	708.47	9,391.20	6,614.59	(618.32)	366.88	3,028.07
Intangible Assets :								
Computer Software	78.88	-	-	78.88	20.04	-	11.16	47.68
Total Intangible Assets	78.88	-	-	78.88	20.04	-	11.16	47.68
Total Assets	9,855.40	323.16	708.47	9,470.08	6,634.62	(618.32)	378.04	3,075.75
Capital Work in Progress	373.70	75.89		449.59	-	-	-	449.59



MANAKSIA INDUSTRIES LIMITED

Notes to financial statements as at and for the year ended March 31, 2016

12. FIXED ASSETS

Particulars	GROSS BLOCK				Depreciation / Amortisation			Rs. in Lacs NET BLOCK
	As at 1st April 2015	Addition	Deletion/ Adjustment	As at 31st Mar 2016	As at 1st April 2015	Deductions/ Adjustments	For the Year	As at 31st Mar 2016
Tangible Assets :								
a) Land	27.25	-	-	27.25	-	-	-	27.25
b) Leasehold Land	9.08	-	-	9.08	2.31	-	0.09	2.40
c) Building	1,368.78	49.90	-	1,418.68	681.21	-	39.11	720.32
d) Plant & Equipment	7,347.39	47.11	49.53	7,344.97	4,812.07	(44.24)	338.13	5,105.96
e) Electrical Installation	266.90	-	-	266.90	242.97	-	3.79	246.75
f) Electric Generator	107.91	-	-	107.91	84.02	-	3.15	87.17
g) Computers	159.34	0.62	-	159.96	133.35	-	8.53	141.89
h) Office Equipment	97.39	3.14	-	100.53	71.97	-	8.74	80.71
i) Furniture & Fixtures	110.16	0.27	-	110.43	82.40	-	5.82	88.22
j) Vehicles	207.16	23.65	-	230.81	125.41	-	15.76	141.17
Total Tangible Assets	9,701.35	124.70	49.53	9,776.52	6,235.72	(44.24)	423.11	6,614.59
Intangible Assets :								
Computer Software	78.88	-	-	78.88	8.27	-	11.77	20.04
Total Intangible Assets	78.88	-	-	78.88	8.27	-	11.77	20.04
Total Assets	9,780.23	124.70	49.53	9,855.40	6,243.98	(44.24)	434.88	6,634.62
Capital Work in Progress	396.45	101.94	124.70	373.70	-	-	-	373.70



MANAKSIA INDUSTRIES LIMITED

ADDITIONAL NOTES ON FINANCIAL STATEMENTS

27) Contingent Liabilities & Commitments:

Contingent Liability

(A) Claims against the company/disputed liabilities not acknowledged as Debts

(Rs. In Lacs)

Sl No	Particulars	31 st March 2017	31 st March 2016
1	Service Tax	42.98	42.98
2	Excises Duty demands under appeal	548.70	548.70
3	Others	2.13	2.13
4	Entry Tax	70.66	58.02

(B) The nine-member bench of Hon'ble Supreme Court vide Order dated 11-11-2016 passed in the case of Jindal Stainless Limited & Others v. State of Haryana & Others [Civil Appeal No. 3453 OF 2002] held the 'concept of Discriminatory Taxes' as the parameter for determining as to whether the levy of Entry Tax is violative of Article 301 of Constitution of India. In terms with the opinion taken by us from Legal Counsel, the levy of Entry Tax in the State of West Bengal is DISCRIMINATORY in nature and therefore the levy may not uphold in the court of law. Hence, the provision made by the Company for Entry Tax has been reversed and liability of Entry Tax has been shown in the contingent liability.

(C) Guarantees

Guarantee issued in favour of electricity department and Others agencies.	40.17	204.38
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28) Earnings per share (EPS)

Particulars	31 st March 2017	31 st March 2016
Profit / (Loss) as per Statement of Profit and Loss (Rs in lacs)	695.20	(348.10)
Weighted average number of equity shares	65,534,050	65,534,050
Nominal value per equity share (Re.)	1	1
Basic and diluted earnings per share (EPS)	1.06	(0.53)



MANAKSIA INDUSTRIES LIMITED

29) Information pursuant to the provisions of Clause viii of the General Instructions for preparation of statement of profit and loss of the Schedule III to the Companies Act, 2013.

a. CIF Value of imports

Particulars	(Rs. In Lacs)	
	31 st March 2017	31 st March 2016
Capital goods	179.40	4.20
Raw materials and other purchases	2175.99	3794.12

b. Expenditure in foreign currencies:

Particulars	(Rs. In Lacs)	
	31 st March 2017	31 st March 2016
Interest on Loans From Banks & Financial Institutions	17.00	28.31
Others Expenses	31.65	NIL

c. Value of Raw materials and spare parts consumed:

	2016-17		2015-16	
	Amount (Rs. In Lacs)	%	Amount (Rs. In Lacs)	%
Raw Materials:				
Indigenous	2659.54	56.42	2,206.05	36.39
Imported	2054.29	43.58	3,855.86	63.61
TOTAL	4713.83	100.00	6,061.91	100.00
Stores & Spares:				
Indigenous	257.54	99.75	303.31	99.96
Imported	0.63	0.25	0.12	0.04
TOTAL	258.17	100.00	303.43	100.00

d. Earnings in foreign exchange:

Particulars	(Rs. In Lacs)	
	31 st March 2017	31 st March 2016
(i) Export of Goods (F.O.B. Value Including Freight Realised)	206.04	353.06
(ii) Interest Income from subsidiary Company	32.72	33.14



MANAKSIA INDUSTRIES LIMITED

30) Related Party Disclosure:-

a) Name & Relationship of the Related Parties

Particulars	Relationship
Euroasian Ventures FZE	Subsidiary Company
Euroasian Steels LLC (Subsidiary of Euroasian Ventures FZE)	Step down Subsidiary Company
Glitter Agencies Pvt Ltd	Subsidiary Company (w.e.f dt 20.01.2017)
Jiwanjyoti Vanijya Pvt Ltd	Subsidiary Company (w.e.f dt 20.01.2017)
B K Industries Nigeria Ltd	Subsidiary Company
Arena Machineries Ltd.	Entity where KMP and Relatives have significant influence
Mr. Basant Kumar Agrawal	Managing Director
Mr. Navneet Manaksia	Director cum CFO**
Mr. Aditya B Manaksia	Director
Mr. Amit Chakraborty	Director (Resigned from Directorship w.e.f 29.11.2016)
Mr. Ajay Kumar Chakraborty	Independent Director (Resigned from Directorship w.e.f 15.11.2016)
Mr. Amitava Guha	Independent Director (Appointed w.e.f 07.01.2017)
Dr. Kali Kumar Chaudhuri	Independent Director
Mrs. Smita Khaitan	Independent Director
Mr. Sandeep Kumar Sultania	Company Secretary

** As a result of appointment of Mr. Navneet Manaksia as Additional Director in Board Meeting dated 7-1-2017, his designation was changed from CFO to Director cum CFO w.e.f. that date.

b. Transactions during the year with related parties

Nature of Transactions	Subsidiary Company	Entity where KMP and Relatives have significant influence	KMP	(Rs. In Lacs)
				Total
1. Purchase of Goods/Services from : Arena Machineries Ltd.		145.46 (22.67)		145.46 (22.67)
Euroasian Ventures FZE	9.99 (NIL)			9.99 (NIL)
Glitter Agencies Pvt Ltd	1.80 (NIL)			1.80 (NIL)
Jiwanjyoti Vanijya Pvt Ltd	1.80 (NIL)			1.80 (NIL)
2. Sale of Goods/Services to: Arena Machineries Ltd.		264.44 (NIL)		264.44 (NIL)
Euroasian Steels LLC	12.24 (NIL)			12.24 (NIL)
3. Interest Income Euroasian Ventures FZE	32.72 (33.14)			32.72 (33.14)
4. Loan Given Euroasian Ventures FZE	48.95 (NIL)			48.95 (NIL)



MANAKSIA INDUSTRIES LIMITED

5. Investment in Equity Share				
Glitter Agencies Pvt Ltd	499.00			499.00
Jiwanjyoti Vanijya Pvt Ltd	(NIL)			(NIL)
	499.00			499.00
	(NIL)			(NIL)
6. Rent Security Deposit				
Glitter Agencies Pvt Ltd	450.00			450.00
Jiwanjyoti Vanijya Pvt Ltd	(NIL)			(NIL)
	450.00			450.00
	(NIL)			(NIL)
7. Remuneration to KMP				
Mr Basant Kumar Agrawal			68.70	68.70
			(45.00)	(45.00)
Mr Navneet Manaksia			35.61	35.61
			(25.00)	(25.00)
Mr Aditya B Manaksia			37.58	37.58
			(30.00)	(30.00)
Mr Sandeep Kumar Sultania			34.61	34.61
			(15.27)	(15.27)
Mr Amit Chakraborty			14.04	14.04
			(6.36)	(6.36)
Mr Pramod Kumar Khemka			NIL	NIL
			(21.98)	(21.98)
8. Director Sitting Fees				
Mr. Ajay Kumar Chakraborty			0.07	0.07
			(0.10)	(0.10)
Dr. Kali Kumar Chaudhuri			0.26	0.26
			(0.12)	(0.12)
Mrs. Smita Khaitan			0.27	0.27
			(0.18)	(0.18)
Mr. Amitabha Guha			0.14	0.14
			(NIL)	(NIL)
9.Amount Due from as on 31st March, 2017				
(a) Investment in Equity Shares				
(i) Euroasian Ventures FZE				
	3239.27			3239.27
	(3239.27)			(3239.27)
(ii) Glitter Agencies Pvt Ltd				
	499.00			499.00
	(NIL)			(NIL)
(iii) Jiwanjyoti Vanijya Pvt Ltd				
	499.00			499.00
	(NIL)			(NIL)
(b) Long Term Loans & Advances				
Security Deposit				
(i) Glitter Agencies Pvt Ltd				
	450.00			450.00
	(NIL)			(NIL)
(ii) Jiwanjyoti Vanijya Pvt Ltd				
	450.00			450.00
	(NIL)			(NIL)
(c) Trade Receivables				
Arena Machineries Ltd.				
		NIL		NIL
		(332.10)		(332.10)
Euroasian Steels LLC				
	12.24			12.24
	(NIL)			(NIL)
(d) Short Term Loans and Advances				
Euroasian Ventures FZE				
	863.78			863.78
	(799.25)			(799.25)



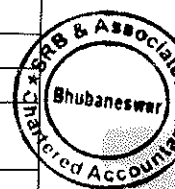
MANAKSIA INDUSTRIES LIMITED

- Note :** (i) Transactions have taken place on arm's length basis
(ii) No amount in respect of debts pertaining to the related parties have been written off or Written back during the year.
(iii) No provision for doubtful debts is required to be made for the year in respect of debt due from related parties.
(iv) Figures in the bracket () represent previous year figures.

31) Disclosure as per Accounting Standard 15 "Employee Benefits"

(Rs. In Lacs)

PARTICULARS	For the year ended 31 st March 2017	For the year ended 31 st March 2016
Employee Benefits :		
i) Defined contribution Plan Contribution to defined contribution plan, recognized are charged of during the year as follows : Employers' contribution to Provident Fund	73.09	75.96
ii) Defined benefit plan Gratuity is paid to employees under the Payment of Gratuity Act 1972 through unfunded scheme. The present value of obligation is determined based on actuarial valuation using projected unit credit method, which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.		
a) Reconciliation of opening and closing balances of defined obligation:		
1) Defined benefit obligation at the beginning of the period	291.68	350.61
2) Current service cost	25.23	21.84
3) Interest cost	22.60	27.17
4) Actuarial (gain) / loss	25.26	20.95
5) Benefit paid	(28.49)	(128.89)
6) Defined benefit obligation at the end of the period	336.28	291.68
b) Reconciliation of fair value assets and obligations:		
1) Fair value of plan assets as at the end of the period		
2) Present value of obligations as at end of the period	336.28	291.68
3) Amount recognized in balance sheet	336.28	291.68
c) Expenses recognized during the year (under the Note "Employee Benefits Expense")		
1) Current service cost	25.23	21.84
2) Interest cost	22.60	27.17
3) Actuarial (gain) / Loss	25.26	20.94
4) Net amount	73.09	69.95
d) Actuarial assumptions		
1) Mortality table	IALM 06-08 ultimate	IALM 06-08 ultimate
2) Discount rate (per annum)	7.35%	7.75%
3) Rate of escalation in salary (per annum)	5.00%	5.00%
4) Expected average remaining working lives of employees(years)	17.74 Year	18.44 years



MANAKSIA INDUSTRIES LIMITED

The estimates of rate of escalation in salary considered in actuarial valuation, takes into account inflation, seniority, promotion and other relevant factors. The above information has been certified by the actuaries.

Assets and Liability (Balance Sheet Position)

Rs. In Lacs

PARTICULARS	As on		
	31st March 2017	31st March 2016	31st March 2015
Present value of Obligation	336.28	291.68	350.61
Fair Value of Plan Assets	-	-	-
Unrecognized Past Service Cost	-	-	-
Effects of Asset Celling	-	-	-
Net Asset / (Liability)	336.28	291.68	350.61

Experience adjustments on Present Value of Benifit Obligation and Plan Assets

Rs. In Lacs

PARTICULARS	As on		
	31st March 2017	31st March 2016	31st March 2015
(Gain) / Loss on Plan Liabilities	14.48	20.94	31.93
Gain / (Loss) on Plan Assets	-	-	-

32) Disclosures on Specified Bank Notes (SBNs)

During the year, the Company had specified bank notes and other denomination notes as defined in the MCA notification G.S.R 308(E) dated March 31, 2017 on the the details of Specified Bank Notes (SBN) held & transacted during the period from November 8, 2016 to December 30, 2016, the denomination wise SBNs and other notes as per the notification is given below:

(Rs. In Lacs)			
Particulars	SBNs*	Other Denomination Notes	Total
Closing cash in hand as on 8/11/2016	33.79	30.47	64.27
(+)Permitted Receipts	-	29.28	29.28
(-)Permitted Payments	-	31.90	31.90
(-)Amounts deposited in Banks	33.79	-	33.79
Closing Cash in hand as on 30/12/2016	-	27.85	27.85

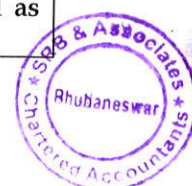
*For the purposes of this clause, the term 'Specified Bank Notes 'shall have the same meaning provided in the notification of the Government of India, in the Ministry of Finance, Department of Economics Affairs number S.O. 3407(E), dated the 8th November, 2016

33) As per the Accounting Standard on segment Reporting (AS-17), segment information has been provided in the Notes to the Consolidated Financial Statement.

34) Financial & Derivative Instruments :-

(Rs. In Lacs)

Particulars	31st March 2017	31st March 2016
A. Foreign currency payables covered by natural hedge from receivable of Exports & Loans	1225.17	1,484.74
B. Foreign currency exposure Receivable which are not hedged	345.36	196.69
C. No derivative instruments was outstanding at the end of both current as well as previous financial year		



MANAKSIA INDUSTRIES LIMITED

35) The Company has proposed final dividend @20% (i.e. Re.0.20 per share on the paid up value of Re.1 each) for the financial year 2016-17 aggregating to Rs.131.07 Lacs (Previous year Nil) plus dividend distribution tax at applicable rate

36) Corresponding comparative figures for the previous year have been regrouped and readjusted wherever considered necessary to confirm to the current year presentation.

As per our Report attached of even date

For, SRB & Associates
Chartered Accountants
Firm Registration No: 310009E

Sanjeet Patra

Sanjeet Patra
(Partner)
Membership No. : 056121
Place: Kolkata - 700 001
Dated: 14th April, 2017



For and on Behalf of the Board of Directors

Basant Kumar Agrawal
Basant Kumar Agrawal
(Managing Director)
DIN - 00520558

Navneet Manaksia
Navneet Manaksia
(Director Cum Chief
Financial Officer)
DIN - 00438612

Aditya B Manaksia
Aditya B Manaksia
(Director)
DIN - 00614488

S K Sultania
S K Sultania
(Company Secretary)
ACS Membership No - 13546